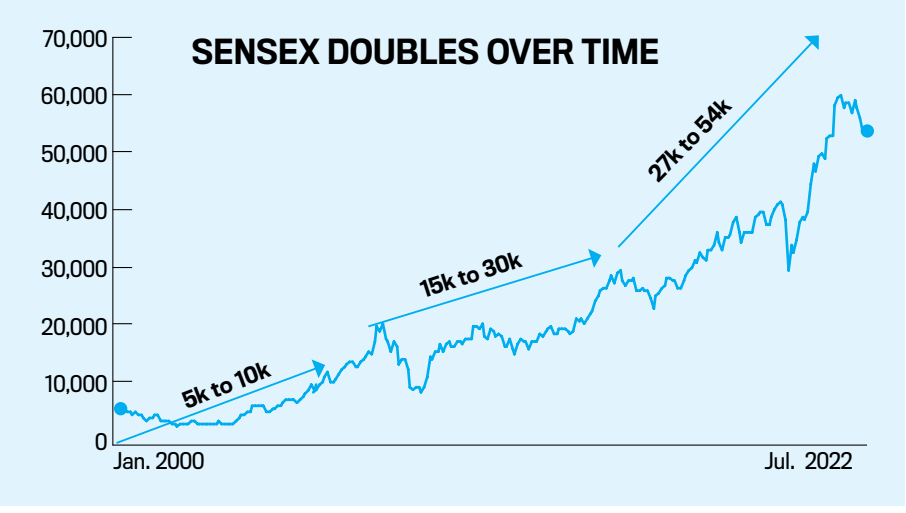
investors is the trade-off to achieve their financial goals. For instance, if you don't have enough money saved to see you through your retirement years, you will finally face a difficult financial situation that you would rather not. The trade-off for a secure financial future is to give up on some near-term financial expenses for a secure retirement.

The complexity surrounding investing often makes novices wonder if they should invest at all. If you think there is an option to not invest, you risk the prospect of having lesser than what you would have

10,000 in 2006 and to 20,000 in 2013-14 and so on. In this 15-year period, we witnessed a stock market bubble with the technology crash in the year 2000, followed by the attacks on the US in 2001, the global financial crisis in 2008, and so on. We are in the middle of 2022 and the S&P Sensex is hovering around 55,000

in several spheres of life—cooking, driving or taking a plane ticket—investing doesn't have a simple short-cut. This is because every investor is different and so are their needs, financial circumstances and availability of surplus funds to invest. So, where does it leave the common investor? One way is to try and learn

OFTEN, INVESTMENT IDEAS CAN SUPPORT EITHER SIDE OF AN ARGUMENT, BUT AT DIFFERENT TIMES AND CIRCUMSTANCES WITH THE RIGHT DATA FROM THE RIGHT TIME PERIOD



Graphic by SANTOSH SHARMA

because of inflation. You are also missing out on the magic of compounding, which Albert Einstein is said to have described as the "eighth wonder of the world". For instance, historically, money in the stock markets doubles every 6-7 years.

This fact is supported by past data; the S&P BSE Sensex was at 5,000 in 2000 and doubled to

levels, which is over 10 times growth from the level it was in the year 2000.

A SOLUTION TO THE INVESTMENT INDECISION PROBLEM

The solution is not simple, even though there are several experts who may espouse several simple ways to invest. Unlike the many short-cuts that exist

about investing, but that is time-consuming and a constant learning process. The other way is to follow a method that works well for most people.

Although mutual funds have been around in India for nearly six decades, they have caught the fancy of small investors and the masses only over the past decade. A lot of it has to

do with the mutual fund industry's relentless pursuit of trying to educate the masses. Market regulator SEBI needs to be equally commended for creating the right environment in fostering confidence amongst investors about putting their hard-earned money into this financial instrument. Sceptic investors often view mutual funds as something unreliable because they do not guarantee returns. There's also the occasional bad weather the industry runs into, but this is true for any industry.

However, investor protection has been the regulator's top concern, which is also why mutual funds are well regulated in India. Today, nearly 20 million investors have put their money in mutual funds and more are joining the bandwagon as investments barriers ease out. On the product benefit front, there is a plethora of choices. Choice based on the number of mutual fund companies (known as fund house or asset management company or AMC) offering different fund schemes as standardised by SEBI.

Structurally, a mutual fund is a professionally managed portfolio of stocks, bonds and/ or other asset classes devoted to a specific investment strategy as mentioned in the fund's investment objective. When you invest in mutual funds, you put some of your money in a larger pool of funds managed by professional money managers. Due to the large sums of money in the pool, and because your mon-